

Wealth Strategy Snapshot: Educational Analysis

2026 Tax Year Planning | Prepared for Frances Townsend | February 2026

Educational scenario modeling for discussion with licensed professionals

01 Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile as a retired, high-income individual in Texas with multiple entities, significant home equity, and an aggressive growth orientation. With 15+ hours per week available, a strong existing professional team, and interest in short-term rental real estate, this snapshot models several complementary strategies spanning retirement optimization, real estate acquisition, and Bitcoin-centric investment scenarios.

Based on the strategies and scenarios modeled in this analysis, the snapshot models potential first-year value ranging from **\$116,420** (conservative scenario) to **\$431,651** (aggressive scenario including real estate acquisition). Implementation of any strategy should be verified with your CPA and licensed financial advisor before proceeding.

Modeled 2026 Value Range: \$116,420 – \$431,651

These are modeled estimates for educational purposes. Actual results depend on implementation, market conditions, and individual circumstances. Consult your professional team before proceeding.

02 Profile Summary & Current Financial Position

Item	Details
Name / Filing Status	Frances Townsend Married Filing Jointly
Age	63 — qualifies for SECURE 2.0 Super Catch-Up (ages 60-63)
Location	Royse City, Texas — 0% state income tax
Primary Income	\$500K+ annually — Retired / Pension income
Business Entities	Multiple entities, established < 6 months ago (Texas)
Self-Employment Income	Not currently — interested in consulting, coaching, RE services, tech services, trades
Estimated Marginal Rate	~35% federal + 0% TX = 35% combined
Liquid Capital	\$300K+ available \$100K+ comfortable deploying
Home	Own — \$900,000 value, \$100K+ equity, dedicated home office
Current 401(k)	Contributing max (\$23,500 in 2025) — unsure if plan qualifies for super catch-up
Backdoor Roth	Completed annually
HSA	Unsure if current plan qualifies
Bitcoin Position	Small position (under 1% of portfolio)
Risk Tolerance	Aggressive (maximum growth, comfortable with significant volatility)
Time Available	15+ hours per week
Credit Score	760+
Real Estate Interest	Yes — STR (Airbnb, flips), BRRRR, commercial, syndications
Key Goals	Reduce tax bill, increase passive income, STR success, estate planning
Professional Team	CPA, Financial Advisor, Attorney, RE Agent — proactive about tax strategies

Business Assets	Vehicle (planning to purchase), home office, computer/tech, tools/equipment
Emergency Reserve	6+ months of expenses
Monthly Savings	\$5,000–\$19,000
Augusta Rule History	\$6,500 (prior usage indicated)

⚠ **SECURE 2.0 Alert (Age 63):** Frances qualifies for the enhanced super catch-up contribution of \$11,250 (vs. standard \$8,000) for 2026. If \$150,000+ in FICA wages were earned in 2025 from the same employer, 2026 catch-up contributions must be Roth. Pension income is typically not FICA wages — verify classification with your CPA.

03 Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

Week 1 — Feb 17–23

- 2025 IRA/HSA: Discuss prior-year contribution eligibility with CPA before April 15 deadline
- 401(k) super catch-up: Confirm current employer plan allows \$11,250 age 60-63 catch-up; discuss Roth requirement with CPA
- HSA eligibility: Verify HDHP enrollment status; note Medicare eligibility at 65 (2 years remaining for HSA contributions)

Week 2 — Feb 24–Mar 2

- W-4P review: Evaluate pension withholding optimization for 2026 with CPA
- Augusta Rule: Review entity structure with CPA for 14-day home rental documentation (2026 rentals)
- Entity review: Assess existing entities for consulting/coaching income potential with attorney

Week 3 — Mar 3–9

- STR market research: Explore Royse City / DFW Airbnb market comps and potential properties with RE agent
- Business vehicle: Research vehicles for business use; discuss purchase timing and documentation with CPA

Week 4 — Mar 10–16

- Backdoor Roth: Discuss 2026 contribution timing for both spouses with financial advisor
- Cost segregation: If STR property identified, discuss cost seg study timing with CPA
- Consolidate: Review all discussion points and prioritize next 60-day considerations with

- Estate planning: Schedule attorney consultation for estate structure review

professional team

These are discussion points and awareness items, not directives. Timing and implementation depend on individual circumstances. Consult your professional team before proceeding.

04 2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until April 15, 2026:

Strategy	2025 Limit	Deadline	Your Opportunity
Traditional / Roth IRA	\$7,000 + \$1,000 catch-up (50+) = \$8,000 each spouse	April 15, 2026	Up to \$16,000 combined (if not yet contributed for 2025). Frances already does annual Backdoor Roth — confirm 2025 is complete.
HSA Contributions	\$8,550 family + \$1,000 (55+) = \$9,550	April 15, 2026	If enrolled in qualifying HDHP during 2025, prior-year contributions may still be made. Verify eligibility with CPA.
Solo 401(k) Employer Portion	25% of net SE income	Tax filing + extensions	Only if plan existed in 2025 and SE income was earned. Discuss with CPA.
SEP IRA	25% of compensation, up to \$70,000	Tax filing + extensions	Alternative if Solo 401(k) not established for 2025. Requires SE income.

No Longer Available for 2025: 401(k) employee deferrals (December 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (December 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

Strategy Concept: 401(k) with Super Catch-Up (Age 60-63)

Potential Value: \$12,513 tax deferral (both scenarios)

What It Is: SECURE 2.0 introduced an enhanced catch-up contribution for individuals aged 60-63, increasing the standard \$8,000 catch-up to \$11,250 for 2026. Combined with the \$24,500 base deferral, total employee contributions may reach \$35,750 — creating modeled tax deferral of $\$35,750 \times 35\% = \$12,513$.

How It Works:

1. Confirm current employer plan permits super catch-up contributions (plan amendment may be needed)
2. Increase deferral from current \$23,500 to \$35,750 for 2026
3. Employee contributions must be made by December 31, 2026

Eligibility Criteria: Age 60-63 during 2026 tax year; employer plan must allow catch-up contributions; SECURE 2.0 Roth requirement applies if \$150K+ FICA wages earned in 2025 from same employer.

Verify plan provisions and Roth catch-up requirement with your CPA and plan administrator. 2026 limits shown.

Strategy Concept: HSA Maximization (Family + Age 55+ Catch-Up)

Potential Value: \$3,413 tax savings (both scenarios)

What It Is: Health Savings Accounts offer a triple tax benefit: tax-deductible contributions, tax-free growth, and tax-free qualified withdrawals. For 2026, the family limit is \$8,750 + \$1,000 catch-up (55+) = \$9,750. At a 35% rate, this models \$3,413 in tax savings.

How It Works:

1. Verify enrollment in a qualifying High Deductible Health Plan (HDHP)
2. Contribute up to \$9,750 (family + catch-up) by December 31, 2026
3. Note: Medicare enrollment (age 65) ends HSA contribution eligibility — Frances has approximately 2 years remaining

Eligibility Criteria: Must be enrolled in qualifying HDHP; cannot be enrolled in Medicare; cannot be claimed as dependent on another return.

Verify HDHP qualification status with your benefits administrator and CPA. 2026 limits shown.

Strategy Concept: Backdoor Roth IRA (Both Spouses)

Potential Value: \$17,200 positioned for tax-free growth

What It Is: A two-step process enabling high-income earners to contribute to a Roth IRA regardless of income limits. For 2026: \$7,500 base + \$1,100 catch-up (50+) = \$8,600 per spouse × 2 = \$17,200. Frances already completes this annually.

How It Works:

1. Contribute to Traditional IRA (non-deductible at this income level)
2. Convert promptly to Roth IRA — minimal taxable gain if converted quickly
3. Ensure no existing Traditional IRA balances to avoid pro-rata rule complications

Eligibility Criteria: Any income level; must manage pro-rata rule; both spouses eligible if filing jointly.

Verify pro-rata rule implications and conversion timing with your CPA. 2026 limits shown.

Strategy Concept: Augusta Rule (Section 280A — 14-Day Home Rental)

Potential Value: \$2,450 – \$3,430 tax savings

What It Is: IRC §280A allows renting your personal residence to your business for up to 14 days per year without reporting the rental income. At fair market value for a \$900,000 home, the business deducts the rent while the homeowner receives tax-free income. Conservative: \$500/day × 14 = \$7,000; Aggressive: \$700/day × 14 = \$9,800. Tax savings: \$7,000–\$9,800 × 35% = \$2,450–\$3,430.

How It Works:

1. Obtain comparable rental market analysis for your home (document FMV)
2. Entity rents home for legitimate business meetings, retreats, board meetings
3. Maintain rental agreements, meeting minutes, and receipts for each rental day

Eligibility Criteria: Must own the home; must have a business entity that rents; must not exceed 14 days; must document bona fide business purpose; FMV must be supportable.

Verify rental rate reasonableness, documentation requirements, and entity qualification with your CPA.

Strategy Concept: Home Office Deduction

Potential Value: \$525 – \$1,750 tax savings

What It Is: A deduction for the business-use portion of home expenses. Frances has a dedicated room used exclusively for business. Simplified method: \$5/sq ft up to 300 sq ft = \$1,500 max deduction. Actual method may yield more based on home value and expenses. At 35%: \$1,500–\$5,000 deduction = \$525–\$1,750 tax savings.

How It Works:

1. Measure dedicated business space; document exclusive and regular use
2. Choose simplified (\$5/sq ft) or actual expense method (proportional share of mortgage interest, insurance, utilities, depreciation)
3. For a \$900,000 home, actual method may provide significantly larger deduction

Eligibility Criteria: Space must be used regularly and exclusively for business; must be principal place of business or used for meeting clients.

Discuss simplified vs. actual method with your CPA to determine which provides greater benefit. 2026 rules.

Strategy Concept: Business Vehicle (2026 Mileage Rate: 72.5¢/mile)

Potential Value: \$1,269 – \$3,045 tax savings

What It Is: Business-use mileage creates a deduction at the 2026 IRS standard rate of 72.5¢ per mile. Frances is planning to purchase a vehicle for business use. Conservative (5,000 miles): \$3,625 deduction × 35% = \$1,269. Aggressive (12,000 miles): \$8,700 × 35% = \$3,045. Alternatively, Section 179 and bonus depreciation may apply to the vehicle purchase.

How It Works:

1. Track business mileage with a contemporaneous log (app-based tracking is common)
2. Choose between standard mileage rate (72.5¢/mile) or actual expenses — discuss with CPA
3. If purchasing a vehicle over 6,000 lbs GVWR, Section 179 may allow accelerated depreciation (OBDDA expanded Section 179 to \$2.5M maximum deduction for tax years beginning after 12/31/2024)

Eligibility Criteria: Vehicle must be used for legitimate business purposes; personal use must be tracked separately; mileage log is required.

Verify mileage tracking requirements and standard-vs.-actual election with your CPA. 2026 rate: 72.5¢/mile.

Strategy Concept: Short-Term Rental + Cost Segregation Study

Potential Value: \$0 (conservative) – \$56,000 (aggressive) first-year tax benefit

What It Is: Acquiring a short-term rental property and performing a cost segregation study to accelerate depreciation. Under the One Big Beautiful Bill Act (OBBBA), signed July 4, 2025, **100% bonus depreciation has been permanently restored** for qualified property acquired and placed in service after January 19, 2025. On a \$350K–\$400K property, a cost seg study commonly reclassifies 35–50% of the depreciable building basis into shorter-lived asset categories (5, 7, 15-year) eligible for 100% first-year bonus depreciation. At a 35% marginal rate: $(\$400,000 \times 80\% \text{ building basis} \times 35\text{--}50\% \text{ reclassified}) \times 100\% \text{ bonus depreciation} \times 35\% = \$39,200\text{--}\$56,000$ modeled first-year tax benefit.

How It Works:

1. Acquire STR property in a market with strong Airbnb demand (DFW area indicated)
2. Engage a cost segregation firm to perform an engineering-based study
3. Average stay must be 7 days or fewer AND owner must materially participate (100+ hours, more than anyone else) to use losses against non-passive income
4. With 15+ hrs/wk available, material participation criteria may be achievable

Eligibility Criteria: Property must be placed in service; property must be acquired after Jan 19, 2025 for 100% bonus depreciation (OBBBA); average rental period ≤ 7 days (STR exception to passive activity rules); material participation required for non-passive loss treatment; REP status (750+ hours) provides additional benefits.

Real estate tax strategies have specific documentation and participation requirements. Work with a qualified tax professional to ensure compliance. Cost seg study costs typically \$5,000–\$10,000.

Strategy Concept: Equipment Deduction (Section 179)

Potential Value: \$700 – \$3,500 tax savings

What It Is: Section 179 allows immediate expensing of business equipment rather than multi-year depreciation. Under OBBBA, the maximum Section 179 deduction increased to \$2,500,000 (phase-out begins at \$4,000,000) for tax years beginning after 12/31/2024. Frances indicated moderate equipment purchases (\$2,000–\$10,000) and has computer/tech equipment and tools. At 35%: $\$2,000\text{--}\$10,000 \times 35\% = \$700\text{--}\$3,500$ tax savings.

How It Works:

1. Purchase qualifying equipment for business use (computers, tools, specialized equipment)
2. Equipment must be placed in service during 2026 tax year
3. Elect Section 179 on tax return; maintain purchase records

Eligibility Criteria: Equipment must be used $>50\%$ for business; must be purchased (not leased, in some cases); must have sufficient business income.

Verify Section 179 limits and qualifying equipment categories with your CPA. 2026 limits apply.

06 Primary Strategy Education: Short-Term Rental & Real Estate Wealth Building

Given Frances's aggressive profile, 15+ hours/week availability, strong interest in Airbnb and real estate, and a \$500K+ income generating a high marginal tax rate, the STR + Cost Segregation combination represents the highest-potential-value strategy in this analysis. Below is an educational overview of how this strategy functions.

STR Income Model (Educational Illustration)

Assumption	Conservative	Aggressive
Property acquisition price	\$350,000	\$400,000
Down payment (20%)	\$70,000	\$80,000
Gross rental income (STR)	\$45,000	\$65,000
Operating expenses (45-50%)	(\$20,000)	(\$30,000)
Net Operating Income (NOI)	\$25,000	\$35,000
Mortgage payment (annual)	~\$20,000	~\$23,000
Pre-tax cash flow	\$5,000	\$12,000

Cost Segregation Tax Benefit Model

Component	Conservative	Aggressive
Property basis (excluding land ~20%)	\$280,000	\$320,000
Reclassified to short-life (35-50%)	\$98,000	\$160,000
First-year bonus depreciation (100% under OBBBA)	\$98,000	\$160,000
Tax benefit at 35% marginal rate	\$34,300	\$56,000

⚠ **Material Participation Requirement:** To use STR losses against non-passive income (W-2, pension), the property must have an average rental period of 7 days or fewer AND Frances must materially participate (typically 100+ hours and more than anyone else). With 15+ hours/week available, this criterion may be achievable. Alternatively, qualifying for Real Estate Professional

(REP) status requires 750+ hours in real estate activities and more time in RE than all other occupations combined. As a retiree, REP status may be more achievable. Discuss with your CPA.

Real Estate Strategy Considerations

Strategy	Description	Frances's Profile Fit
STR (Airbnb)	Short-term rentals with 7-day avg stay for passive activity exception	Strong — DFW market, time available, aggressive risk profile
BRRRR	Buy, Rehab, Rent, Refinance, Repeat — forced equity creation	Moderate — requires rehab management; has capital and time
Commercial RE	Larger properties with commercial tenants	Future consideration — higher capital requirement, longer hold
Syndications	Passive investing in larger deals managed by sponsors	Good — passive income aligned; typically accredited investor

Estate Planning Integration

Frances indicated estate planning as a key goal. Real estate acquired through entities can facilitate estate planning strategies such as Family Limited Partnerships (FLPs) or Irrevocable Trusts that may provide valuation discounts for estate and gift tax purposes. With \$900,000 in home equity and potential RE acquisitions, coordinating entity structure with estate planning objectives is a discussion point for Frances's attorney.

Real estate tax strategies have specific documentation and participation requirements. Work with a qualified tax professional and real estate attorney to ensure compliance. Projections shown are illustrative and depend on market conditions, occupancy rates, and property-specific factors.

07 Illustrative Portfolio Scenario

Based on the aggressive investment approach, passive income + growth goals, 15+ hours/week available, and \$100K–\$300K+ deployable capital, this scenario models a Bitcoin-centric allocation with meaningful income-generating exposure.

Educational Investment Scenario (Based on Profile Analysis)

Asset Class	Scenario %	Conservative (\$100K)	Aggressive (\$300K)	Educational Rationale
Bitcoin (BTC)	65%	\$65,000	\$195,000	Bitcoin serves as a core wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption. 65% reflects aggressive profile with growth focus.
STRC	25%	\$25,000	\$75,000	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10-12% annual yield. 25% addresses passive income goals.
VTI / VOO	10%	\$10,000	\$30,000	VTI (Vanguard Total Stock Market ETF) and VOO (S&P 500 ETF) provide broad U.S. equity exposure at low cost (0.03% expense ratio). 10% provides traditional market diversification.

This scenario models one approach based on the aggressive profile and passive-income-plus-growth goals indicated. Frances currently has a small Bitcoin position (under 1%), so this scenario represents a significant increase in Bitcoin exposure. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation, risk capacity, and overall portfolio.

Modeled Scenario Returns (Year 1 — Educational Only)

Component	Conservative	Aggressive	Assumption
Bitcoin Appreciation	\$16,250	\$97,500	25% / 50% growth
STRC Yield (Income)	\$2,500	\$9,000	10% / 12% yield
STRC Appreciation	\$3,750	\$22,500	15% / 30% growth
VTI/VOO Dividends	\$150	\$600	1.5% / 2% dividend
VTI/VOO Appreciation	\$800	\$3,600	8% / 12% growth
Total Modeled Return	\$23,450	\$133,200	

Investment Risk Notice: All investments involve risk including potential loss of principal. Bitcoin and cryptocurrency investments are highly volatile and speculative — past performance does not guarantee future results. Appreciation assumptions are illustrative scenarios, not predictions. STRC yield is not guaranteed; verify current yield at time of investment. Consult a licensed financial advisor before making investment decisions.

08 Modeled First-Year Value Summary (2026 Tax Year)

Capital Deployment: Conservative = \$100,000 (comfortable deploying) | Aggressive = \$300,000 (liquid capital available)

Cat.	Item	Conservative	Aggressive	Notes
CATEGORY A: TAX OPTIMIZATION STRATEGIES				
Tax	401(k) + Super Catch-Up (\$35,750 × 35%)	\$12,513	\$12,513	Age 63 super catch-up
Tax	HSA Family + Catch-Up (\$9,750 × 35%)	\$3,413	\$3,413	If HDHP enrolled
Tax	Augusta Rule (14 days × \$500–\$700/day × 35%)	\$2,450	\$3,430	\$900K home FMV
Tax	Home Office Deduction	\$525	\$1,750	Dedicated room
Tax	Business Vehicle (72.5¢/mi × 5K–12K mi × 35%)	\$1,269	\$3,045	2026 mileage rate
Tax	Equipment / Section 179	\$700	\$3,500	\$2K–\$10K purchases
Tax	STR + Cost Segregation (100% bonus dep — OBBBA)	\$0	\$56,000	Aggressive only
Tax Optimization Subtotal		\$20,870	\$83,651	
CATEGORY B: INVESTMENT INCOME (YIELD / DIVIDENDS)				
Income	STRC Yield (\$25K × 10% / \$75K × 12%)	\$2,500	\$9,000	Verify current yield
Income	ETF Dividends (\$10K × 1.5% / \$30K × 2%)	\$150	\$600	VTI/VOO blend
Investment Income Subtotal		\$2,650	\$9,600	
CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH)				
Growth	Bitcoin (\$65K × 25% / \$195K × 50%)	\$16,250	\$97,500	Highly volatile
Growth	STRC (\$25K × 15% / \$75K × 30%)	\$3,750	\$22,500	BTC-correlated
Growth	VTI/VOO (\$10K × 8% / \$30K × 12%)	\$800	\$3,600	Broad market
Appreciation Subtotal		\$20,800	\$123,600	

CATEGORY D: REAL ESTATE (AGGRESSIVE SCENARIO ONLY)				
RE	STR Net Operating Income	\$0	\$35,000	After operating expenses
RE	Property Appreciation (4.5% of \$400K)	\$0	\$18,000	Market dependent
RE	Mortgage Principal Paydown (Year 1)	\$0	\$4,500	Equity build
Real Estate Subtotal		\$0	\$57,500	Conservative = no RE
CATEGORY E: CASH FLOW IMPROVEMENTS				
Cash Flow	W-4P / Withholding Optimization	\$2,400	\$4,800	\$200–\$400/mo increase
Cash Flow Subtotal		\$2,400	\$4,800	
CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)				
Wealth	401(k) Contributions (\$24,500 + \$11,250 super catch-up)	\$35,750	\$35,750	2026 max w/ super
Wealth	HSA Contributions (\$8,750 + \$1,000 catch-up)	\$9,750	\$9,750	If HDHP enrolled
Wealth	Backdoor Roth IRA (\$8,600 × 2 spouses)	\$17,200	\$17,200	Tax-free growth
Wealth	Augusta Rule Income Received	\$7,000	\$9,800	Tax-free under §280A
Wealth	RE Equity Position (20% down payment)	\$0	\$80,000	Aggressive only
Wealth Building Subtotal		\$69,700	\$152,500	
TOTAL MODELED FIRST-YEAR VALUE (2026)		\$116,420	\$431,651	

Totals Verification

Category	Conservative	Aggressive
A: Tax Optimization	\$20,870	\$83,651
B: Investment Income	\$2,650	\$9,600
C: Investment Appreciation	\$20,800	\$123,600
D: Real Estate	\$0	\$57,500
E: Cash Flow	\$2,400	\$4,800
F: Wealth Building	\$69,700	\$152,500
GRAND TOTAL	\$116,420	\$431,651

Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits; verify with your CPA. Cost segregation uses 100% bonus depreciation per OBBBA (property acquired after Jan 19, 2025). Consult with your licensed professionals before implementation.

09 Calendar Awareness & Key Dates (2026)

Date	Item	Notes
April 15, 2026	Last day for 2025 IRA/HSA contributions	Discuss with CPA whether prior-year contributions are beneficial
April 15, 2026	2025 tax return filing deadline	Extensions available to October 15; payment still due April 15
Ongoing	2026 401(k) payroll contributions	Increase deferral to \$35,750 (\$24,500 + \$11,250 super catch-up) for 2026
Throughout 2026	Augusta Rule rental events	Schedule and document up to 14 business rental days
Throughout 2026	Mileage and expense tracking	Maintain contemporaneous log for vehicle, equipment, home office
By Dec 31, 2026	Solo 401(k) establishment (if applicable)	Required for 2026 employee deferrals if SE income is generated
By Dec 31, 2026	401(k) employee contributions	Must be made through payroll by year-end
By Dec 31, 2026	HSA contributions for 2026	Can also be made until April 15, 2027
By Dec 31, 2026	Equipment purchases (Section 179)	Must be placed in service by year-end for 2026 deduction
April 15, 2027	Last day for 2026 IRA/HSA contributions	Roth IRA contributions can be made until filing deadline

Verify all deadlines with your tax professional. Some deadlines may shift if they fall on weekends or holidays.

10 Questions for Your Professional Team

For Your CPA / Tax Professional

401(k) Super Catch-Up: "Does my current employer plan allow the \$11,250 super catch-up for ages 60-63? Do I need to make my catch-up contributions as Roth due to SECURE 2.0 based on my 2025 FICA wages?"

HSA Eligibility: "Am I currently enrolled in a qualifying HDHP? What are my 2026 HSA contribution options given my age (63) and approaching Medicare eligibility at 65?"

Augusta Rule: "What documentation do I need for the 14-day home rental to my business entity? How do we establish a defensible fair market value for my \$900,000 home?"

2025 Cleanup: "Can I still make 2025 IRA or HSA contributions before April 15? Are there any 2025 strategies I should complete before filing?"

STR Tax Treatment: "If I acquire an STR property, what are the material participation requirements for non-passive loss treatment? Could I qualify for REP status given my retirement status?"

Cost Segregation: "At what point in the property acquisition process should I engage a cost seg firm? What is the typical timeline and cost for a study on a \$350K-\$400K property? How does OBBBA's restoration of 100% bonus depreciation affect the first-year tax benefit?"

Business Vehicle: "Should I purchase the business vehicle personally or through an entity? What are the Section 179 implications vs. standard mileage for 2026?"

Entity Structure: "Are my existing entities optimally structured for the income activities I'm considering (consulting, coaching, RE)? Should any modifications be made?"

For Your Financial Advisor

Portfolio Allocation: "Given my aggressive risk tolerance and passive income goals, how does a Bitcoin-centric scenario align with my overall retirement portfolio? What allocation makes sense given my complete financial picture?"

Roth Strategy: "Am I maximizing the Backdoor Roth for both spouses? Should we consider Roth conversion strategies given my current tax bracket?"

Withdrawal Planning: "As a retiree at 63, how should I sequence withdrawals from pension, retirement accounts, and investment accounts for tax efficiency?"

For Your Attorney / Estate Planner

Estate Structure: "How should my entities, real estate holdings, and investment accounts be structured for estate planning purposes? Are FLPs, trusts, or other structures appropriate for my situation?"

RE Entity: "Should I acquire the STR property in a new LLC or an existing entity? What liability protection and tax implications should I consider?"

Succession Planning: "With a \$900,000 primary residence, potential STR property, and investment portfolio, what estate planning tools are most appropriate for my goals?"

For Your Real Estate Agent / Investor

Market Analysis: "What are the average nightly rates, occupancy rates, and annual gross revenue for STR properties in the Royse City / DFW area?"

Property Selection: "What property characteristics (size, location, amenities) drive the highest STR performance in this market?"

11 Professional Team Considerations

Frances has indicated a proactive professional team already in place. Below is a summary of the professional roles relevant to strategies discussed in this snapshot.

Professional	Status	Relevant Strategies
CPA / Tax Professional	✅ In place	All tax strategies: 401(k) super catch-up, HSA, Augusta Rule, cost seg, home office, vehicle, equipment, 2025 cleanup
Financial Advisor / Wealth Manager	✅ In place	Investment scenario implementation, Backdoor Roth, withdrawal sequencing, portfolio review
Attorney / Estate Planner	✅ In place	Entity structure, estate planning, RE holding entities, asset protection
Real Estate Agent / Investor	✅ In place	STR property acquisition, market analysis, BRRRR strategy support
Cost Segregation Firm	📋 To identify	Engineering-based cost seg study on acquired STR property
STR Property Manager	📋 To evaluate	If not self-managing: Airbnb listing optimization, guest management, maintenance

This snapshot is designed as a discussion tool for your professional team. Each strategy requires professional verification before implementation.

12

Review Milestones & Checkpoint Considerations

Timeframe	Checkpoint
March 2026	Initial professional team discussions complete. 2025 cleanup items identified. 401(k) deferral increase submitted for 2026 payroll.
April 2026	2025 tax return filed or extended. Prior-year IRA/HSA contributions completed if applicable. STR market research in progress.
June 2026	Mid-year checkpoint: Investment scenario implementation status. HSA eligibility confirmed and contributions on track. Augusta Rule rental events scheduled.
September 2026	Q3 review: STR property status (under contract, acquired, or timeline adjusted). Business vehicle purchase evaluated. Equipment purchases planned for Section 179.
November 2026	Year-end planning: Confirm 401(k) deferrals will reach \$35,750 by December 31. Finalize equipment purchases. Complete remaining Augusta Rule events. Cost seg study initiated if property acquired.
January 2027	Annual review: Evaluate 2026 strategy outcomes. Begin 2027 tax year planning. Update estate plan if real estate acquired.

These milestones are suggested checkpoints for discussion with your professional team, not requirements or deadlines. Adjust based on your circumstances and professional guidance.

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Educational Resources & 2026 Reference

2026 Contribution Limits Reference

Account Type	Base Limit	Catch-Up (50+)	Super Catch-Up (60-63)	Frances's Max
401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250	\$35,750
401(k) Total (Employee + Employer)	\$72,000	+\$8,000	+\$11,250	\$83,250
HSA (Family Coverage)	\$8,750	—	—	—
HSA Catch-Up (55+)	—	+\$1,000	+\$1,000	\$9,750
Traditional / Roth IRA	\$7,500	+\$1,100	+\$1,100	\$8,600/spouse
Business Mileage	72.5¢ per mile — 2026 rate			

Age-Based Catch-Up Quick Reference (2026)

Age Range	401(k) Catch-Up	IRA Catch-Up	HSA Catch-Up (55+)
Under 50	\$0	\$0	\$0
50–54	\$8,000	\$1,100	\$0
55–59	\$8,000	\$1,100	\$1,000
60–63 ← Frances	\$11,250 (SUPER)	\$1,100	\$1,000
64+	\$8,000	\$1,100	\$1,000

Key IRS Resources (For Reference)

Topic	IRS Resource
401(k) Contribution Limits	IRS.gov — Retirement Topics: 401(k) and Profit-Sharing Plan Contribution Limits
HSA Limits	IRS Revenue Procedure (annual) — HSA contribution limits
Roth IRA / Backdoor Roth	IRS Publication 590-A: Contributions to IRAs
Augusta Rule	IRC §280A(g) — Rental of principal residence
Home Office	IRS Publication 587: Business Use of Your Home
Business Mileage	IRS Standard Mileage Rates (updated annually)
Cost Segregation	IRS Audit Techniques Guide: Cost Segregation
STR Passive Activity	IRC §469 and Reg. §1.469-1T(e)(3)(ii)(A) — 7-day average rental
Bonus Depreciation (OBBBA)	IRC §168(k) as amended by OBBBA (July 4, 2025) — 100% bonus depreciation
Section 179 (OBBBA)	IRC §179 as amended by OBBBA — \$2.5M deduction / \$4M phase-out

For educational reference only. Tax laws change regularly. Verify current rules with your tax professional and IRS.gov.

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